

Datadog

Four Industry Contacts Suggest Ongoing Observability Market Momentum, Push Back Against AI Apocalypse for SaaS Narrative

We are presenting a summary of our recent conversations with four industry contacts of Datadog to provide a frontline view of the trends that we expect to drive fundamentals for Datadog over the next 12-18 months. The feedback from this set of industry contact discussions is positive regarding recent trends as well as overall strength in Datadog's platform and the Observability market more broadly. We think it is worth reminding investors as we head deeper into the earnings season that these datapoints should be considered as part of a broader mosaic and to understand that Datadog tends to be particularly conservative in its first-blush full-year guidance framework. Key Takeaways: **1) Demand Environment Characterized as Healthy & Resilient Overall; Datadog Outpacing Peers.** Partners and customers paint a favorable demand picture so far in 2026, with one partner (Industry Contact 1) indicating a particularly strong start to the year, with the firm's overall Observability practice growing well above initial targets. For the same partner, Q4 2025 came in at low-20s y/y growth for the firm's Datadog practice, above the high-teens internal projection, and Q1 2026 is now expected to come in closer to 20% versus a mid-teens initial target, though in absolute terms it was a somewhat easier y/y comp. The same contact highlights the pace of January activity, noting "we did about 20% of what we did all last year in the month of January," although clearly any individual Datadog partner represents only a very small slice of the overall global business and should be considered appropriately in the broader mosaic. For another partner practice (Industry Contact 3), Datadog was one of the firm's fastest-growing products in 2025, growing ~19% y/y versus 10-12% for other Observability tools in the portfolio. The same partner described the broader technology spending environment as "very explosive," with significant investment increases across security, infrastructure, and Observability driven by companies scaling up for AI deployments and investing in technology to replace or reduce headcount. An AI/ML company which is a Datadog customer indicated expecting substantial growth in 2026 off of a low-single digit million 2025 realized budget. **2) AI an Emerging Multi-Vector Growth and TAM Driver for Observability.** Contacts broadly characterize AI as a meaningful and durable tailwind for the Observability category, with one industry expert describing AI as "the gift that keeps on giving" for Observability, as well as for security software, citing multiple reinforcing vectors of demand growth such as (a) AI-assisted code generation easing historical developer constraints and accelerating the volume of software going into production, potentially directly expanding the TAM for monitoring; (b) the addition of LLM interfaces to existing enterprise applications, creating an entirely new monitoring dimension around verifying whether AI outputs are correct; and (c) the proliferation of AI Agents from vendors like Salesforce and ServiceNow and the need for interoperability between agents, which creates what one contact calls a "complicated hairball" of interacting autonomous processes, for which third-party Observability can provide a unified

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Overweight

DDOG, DDOG US

Price (06 Feb 26):\$111.69

Price Target (Dec-26):\$200.00

Software - Large Cap / Mid & Small Cap

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

	2024A	2025E	2026E
Q1	0.44	0.46A	0.50
Q2	0.43	0.46A	0.54
Q3	0.46	0.55A	0.61
Q4	0.49	0.54	0.63
FY	1.83	2.01	2.29

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	83	88	87	86	92
Growth	57	46	34	28	25
Momentum	51	42	47	68	17
Quality	38	11	26	54	46
Low Vol	38	29	42	68	75
ESGQ	9	2	26	92	-

See page 15 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	-17.9%	-18.5%	-41.5%	-22.9%
Rel	-19.2%	-18.4%	-44.6%	-36.8%

Company Data

Shares O/S (mn)	362
52-week range (\$)	201.69-81.63
Market cap (\$ mn)	40,431.89
Exchange rate	1.00
Free float (%)	98.6%
3M ADV (mn)	5.12
3M ADV (\$ mn)	757.7
Volatility (90 Day)	61
Index	S&P 500
BBG ANR (Buy Hold Sell)	44 4 1

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E
Financial Estimates			
Revenue	2,684	3,388	3,979
Adj. EBIT	674	756	967
Adj. EBITDA	109	83	150
Adj. net income	654	728	854
Adj. EPS	1.83	2.01	2.29
BBG EPS	1.77	2.02	2.41
Cashflow from operations	871	1,043	1,240
FCFF	836	984	1,168
Margins and Growth			
Revenue Growth Y/Y (%)	26.1%	26.2%	17.5%
EBIT margin	25.1%	22.3%	24.3%
EBIT Growth Y/Y (%)	37.5%	12.2%	27.8%
EBITDA margin	4.1%	2.5%	3.8%
EBITDA Growth Y/Y (%)	892.8%	(24.0%)	80.5%
Net margin	24.4%	21.5%	21.5%
Adj. EPS growth	37.7%	9.9%	13.9%
Ratios			
Adj. tax rate	2.4%	2.1%	3.0%
Interest cover	15.5	7.6	15.6
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	27.6%	22.7%	20.1%
Valuation			
FCFF yield	2.1%	2.4%	2.8%
Dividend yield	-	-	-
EV/Revenue	20.6	16.4	13.7
EV/EBITDA	505.2	671.1	362.6
Adj. P/E	61.1	55.6	48.8

Summary Investment Thesis and Valuation

Investment Thesis

Datadog is a leading provider of monitoring and security for public cloud, private cloud, and on-premises applications, with these solutions delivered via a comprehensive, unified platform. The company's technologies integrate and automate infrastructure monitoring, application performance monitoring, and log management to enable seamless observability, cloud security, and developer use cases. The company sees a large portion of the ITOM market as its target, which Gartner estimates will represent a \$53B opportunity by 2025. The combination of its large market opportunity, along with rapid growth, positive PF operating margin, and FCF generation, put it in an elite category. This market includes both legacy on-premise and private cloud environments as well as modern public cloud environments, which are expected to grow faster than the ITOM market as a whole. While the legacy environments include more competitive displacements, the cloud infrastructure space is primarily greenfield. We believe Datadog is the leader in its market and the preferred tool among DevOps professionals, providing a single-pane-of-glass experience across dynamic operating environments. As a result, we see Datadog as a direct beneficiary of the secular trends of digital transformation, which is driving an increase in workloads, as well as cloud migration, which is driving a higher proportion of workloads to public clouds, positioning it well in the drive toward modernization.

Performance Drivers

Market	24%
Sector	1%
Macro	1%
Style	21%
Idiosyn.	53%

Factors	6M Corr	1Y Corr
Market: MSCI US	0.23	0.49
Sect: Technology	-0.22	-0.11
Ind: Software & Serv	-0.05	0.12
Macro:		
US Dollar	0.02	0.14
US 10yr yield	0.06	-0.08
Economic Surprise	-0.04	0.07
Quant Styles:		
Value	-0.11	-0.26
Growth	0.04	0.24
Size	-0.17	-0.21

view. Interestingly, the AI/ML company which is a Datadog customer contact largely echoes this dynamic, commenting that Datadog usage is expanding beyond ‘traditional’ Observability and into newer use cases, such as LLM cost monitoring for internally hosted GPUs and product analytics. A partner adds that AI-related investment is driving significant spend across multiple technology categories as companies prepare for production AI workloads expected to go into scaled production heading into the 2H 2026. **3) Observability Moats Remain Defensible; ‘Death of SaaS’ Narrative Is Overblown in Magnitude, a View We’ve Held as Well.** Contacts are relatively unified in their push back against the *magnitude* of the thesis that AI coding tools could replicate what Observability vendors have built, as well as holding a directionally similar view for broader SaaS as well (see our views [here](#)). One industry expert suggests that software companies that have built a platform that (a) collects unique, hard-to-gather data and (b) adds significant value in analysis and storage, should be well positioned, and notes that leading Observability platforms perform well across both vectors. Alluding to the depth, breadth, and architectural integration that leading Observability platforms has developed, one expert comments that these platforms have solved engineering problems that are fundamentally challenging: *“you cannot sit down and tell Claude Code, go build me a Grail and Husky... people at the moment think you can, but you cannot.”* The customer contact echoes this sentiment directly, noting *their organization attempted to migrate away from Datadog approximately two years ago but “just couldn’t get away with all the features that we needed.”* Broadly, contacts acknowledge that companies that are purely a thin UI layer or automation layer face elevated risk, with one customer singling out RPA and workflow automation platforms as *“much more at risk of complete replacement.”* However, contacts describe the undifferentiated comparison of applications that are a “thin UI on top of a CRUD” to platforms with proprietary data collection, purpose-built storage, and deep integration ecosystems as misguided, with one contact summarizing the dynamic as *“babies being thrown out with the bathwater”* and another stating that *“there are real pressures, but I think the fear of complete replacement is overblown for most platforms... it’s not like Salesforce disappears.”* **4) Platform Stickiness Underpinned by Connector Ecosystem and Operational Embedding.** A customer characterizes Datadog as *“probably the best in class in terms of a full stack Observability system,”* citing its logging, incident response, and broad connector ecosystem as key differentiators. The connector library is highlighted as a major source of stickiness, as large enterprises using thousands of applications need integrations readily available and maintained, and the bigger the organization and the more cloud software in use, the stickier Datadog becomes. One contact explains that while Agentic AI could theoretically build replacement software, the breadth of the connector ecosystem makes this a very large undertaking and *“still... a long way out.”* A separate partner highlights Datadog’s ease of deployment, particularly for security integrations, commenting *“I could almost one-click my way into turning it on.”* This particular partner firm selected Datadog as its sole Observability platform, sunsetting Splunk, Grafana, and LogicMonitor. **5) Competitive Threats from Chronosphere/Palo Alto and Snowflake/Observe Viewed as Limited; Pricing Remains a Watch Item.** Recently acquired observability assets (Chronosphere by Palo Alto [Note, Palo Alto is covered by JPM analyst Brian Essex] and Observe by Snowflake) are not viewed as significant disruptions to the competitive environment, with the acknowledgement of some potential for Palo Alto to cross-sell Chronosphere across its install base. The most tangible near-term risk identified is pricing pressure: one customer notes that Datadog *“is a costly solution,”* which is feedback we have heard in our fieldwork before though it is usually balanced by references to the power of Datadog’s platform, and that competitors may attempt to use AI to rapidly build comparable features at lower price points, though this is characterized as a theoretical threat rather than an existing dynamic. Taken together, these dynamics illustrate that Datadog’s growth trajectory is not solely AI-dependent but broad-based, supported by expanding product depth, improved go-to-market execution, and early benefits from the company’s focus on platform consolidation. *Net/net: We see Datadog as a vibrant category leader in a market that is benefiting from the relentless modernization trend, along with a highly*

attractive financial profile and history of execution. However, we maintain a balanced view on the uncertain macroeconomic and geopolitical environment. Datadog's shares trade at a premium revenue multiple and FCF multiple, which we think is justified to some extent given the long-term scaling of the business with superb efficiency and its strong positioning within an attractive market benefiting from digital transformation and cloud migration. Remain OW; Dec-26 PT of \$200.

Detailed Ecosystem Insights

In order to assess trends and business momentum for companies in our coverage, we continually seek the feedback and expertise of customers and partners. Our Ecosystem Insights are an unbiased selection of comments intended to add incremental color to the Software sector. Additionally, it is the view of one customer or partner and might not be statistically significant, and, as such, we would wait to hear from other customers and partners to inform our view from a mosaic of information.

Industry Contact 1 (+)

General

- Contact is the leader of a consulting firm dedicated to Observability and related services.
- The industry expert has visibility into Observability and information security software landscape, including direct engagement with software company leadership.

AI as a TAM Expansion Driver

- AI is described as *"the gift that keeps on giving"* for both Observability and security software markets, citing multiple reinforcing vectors of demand growth.
- Notes that AI-assisted code generation is incrementally *easing the single biggest historical constraint on software proliferation, which is developer availability, which will accelerate the volume of software going into production and directly expand the TAM for monitoring.*
- Highlights that LLM interfaces are being added to existing enterprise applications, creating an entirely new monitoring dimension; previously, customers only worried about performance and reliability; *now they must also verify whether "the AI did the right thing,"* which is a fundamentally different problem and potential opportunity for Observability.
- Contact opines that all major Observability vendors have already shipped LLM monitoring features to address this emerging need.

AI Agents

- Points to the proliferation of AI Agents, both vendor-provided (Salesforce, ServiceNow) and customer-built, as creating a *"complicated hairball"* of interacting autonomous processes that need to be monitored.
- *Notes that Salesforce and ServiceNow already have healthy installed bases of Agents running at customer sites, and these Agents may be interacting with each other to complete multi-step processes, representing a monitoring challenge at a different scale and complexity than previously seen.*
- The industry expert acknowledges that model vendors like OpenAI may provide monitoring tooling for their own models, *but enterprises will be running multiple models across multiple Agent vendors, which requires third-party Observability platforms to provide a unified view.*

Defensibility of Observability Moats vs. AI Disruption

- The contact pushes back firmly against the idea that AI coding tools could replicate what Observability vendors have built, posing two questions: (a) does the vendor collect unique, hard-to-gather data and (b) does the vendor add significant value in analysis and storage, adding that leading Observability software providers rank positively on both fronts.
- On data collection, the partner notes that application telemetry is inherently difficult to gather and that the Agents used to collect it must meet extremely high reliability and security standards – *the expert points to the massive fall-outs from high-profile security incidents over the past couple years as an example of the stakes at play from the point of view of enterprises implementing Agentic / AI solutions.*
- On data analysis, emphasizes that anomaly detection requires comparing current behavior to historical baselines. *"You can't do anomaly detection on a sample size of one"*, and that deterministic data relationship mapping, root cause analysis, and purpose-built storage architectures (e.g., Dynatrace's Grail, Datadog's Husky/Toto) represent genuinely hard engineering problems.
- *"You cannot sit down and tell Claude Code, 'go build me a Grail and Husky'... people at the moment think you can, but you cannot."*

On the 'Death of SaaS'

- The contact references recent high-profile remarks that AI could be the end of the SaaS business, and notes that recent stock market action has reflected this thesis; However, they believe the market is applying *"a broad brush"* and in certain cases perhaps unwarranted.
- The industry expert goes on to add that *the characterization of SaaS as "a thin UI on top of a CRUD (Create, Read, Update, and Delete) database" may apply to some applications, but argues this framework does not extend to vendors that collect proprietary data, apply sophisticated analytical layers, and store data in purpose-built architectures.*
- Summarizes the dynamic as *"babies being thrown out with the bathwater."*

Growth Outlook & Competitive Dynamics

- At a high level, industry contact *does not see a clear reason for Observability vendors to necessarily decelerate from current growth rates and believes AI creates the conditions for the category to accelerate.*
- Notes that at Dynatrace's recent Perform conference, AI and Agents were essentially the only topic, indicating the company's strategic focus is fully aligned with emerging AI growth vectors.
- Applies the same AI-driven TAM expansion thesis to the security software market, suggesting similar tailwinds for security vendors.

Industry Contact 2 (+/=)

General

- Contact is a technology leader at a major AI/ML company, with extensive experience across leading tech departments across enterprise-grade firms.
- Directly responsible for technology stack decisions including Observability, analytics, code management, and CRM platforms.

Datadog Spend & Usage

- Contact's organization spent in low-single digit millions on Datadog in 2025 and expects that figure to grow substantially at roughly a 50% clip in 2026.
- Customer describes Datadog as the organization's primary Observability platform for its multi-tenanted cloud setup, covering logging, incident response, monitoring, and alerting. In terms of on-premise and highly regulated deployments (government cloud, financial services), the organization maintains a parallel open-source stack based on OpenTelemetry, Prometheus, and Grafana.
- The contact notes that *Datadog usage is expanding beyond traditional Observability into newer use cases, including LLM cost monitoring for internally hosted GPUs and product analytics. They see this as an area where Datadog data may begin to replace dedicated product analytics platforms.*

Platform Value & Competitive Position

- Characterizes Datadog as *"probably the best in class in terms of a full stack Observability system,"* citing its logging, incident response, and broad connector ecosystem as key differentiators.
- *Customer highlights the connector library as a major source of stickiness, as large enterprises using thousands of applications need those integrations readily available and maintained;* adds that *the bigger the organization and the more cloud software in use, the stickier Datadog becomes.*
- It is pointed out that Datadog also becomes embedded in operational processes as DevOps and DevSecOps teams grow, creating retraining costs if the platform were switched out.
- *The customer explains that the organization attempted to migrate away from Datadog approximately two years ago but was unable to replicate the breadth of features needed. "We tried to kind of migrate away like two years ago, we just couldn't get away with all the features that we needed."*

Datadog & AI/LLM Companies

- When asked about the stickiness of Datadog for large model providers like OpenAI, the contact believes Datadog was chosen because it is best in class for cloud infrastructure monitoring at massive scale.
- Acknowledges it is theoretically possible for a large customer to build custom replacement software using Agentic AI, but views it as a very large undertaking due to the breadth of the connector ecosystem. *"The connector library, the connector ecosystem... you're using thousands of applications within the organization, you want all those connectors readily available and someone to maintain them."*
- Considers the scenario of Agentic AI fully replacing Datadog's operational layer as possible but *"still... a long way out"* and more of a theoretical discussion than a near-term practical concern.

Potential Pricing Pressure

- The contact identifies pricing as the most tangible potential near-term risk for Datadog; competitors may theoretically use AI to rapidly build comparable features and offer them at much lower price points, which could challenge Datadog's pricing power, though acknowledges this is a theoretical threat vs. an existing dynamic.

- Notes that Datadog *"is a costly solution,"* which could provide opening for competitors.

SaaS & Agentic AI

- The customer provides a concrete example of Agentic AI impact: the organization uses a third-party AI Agent on top of Zendesk for customer service, which has taken over roughly 60% of ticket volume that was previously handled by human Agents. *Importantly, while deflections have increased, there has been an increase in the volume of tickets overall because those customers are getting their more basic issues resolved, more complex customer service cases are emerging as a result,* reflecting the complex, multi-faceted downstream effects of AI and Agents.
- Notes that while overall ticket volume has increased (as basic issues get resolved by AI and more complex issues surface), the net effect has been a degree of reduction in seat count.
- Observes that *the traditional per-seat pricing model for SaaS companies may be challenged* and that the industry is being pushed toward outcome-based pricing, tying software value to business results such as ticket resolution rates or churn reduction, suggesting that while there is disruption in vectors such as pricing, it is not an existential threat to the underlying value being delivered.
- Importantly, the contact does not believe platforms like Salesforce, ServiceNow, or Zendesk will be replaced: *"it's not like Salesforce disappears."*
- Contact argues that the system of record, compliance, auditability, and process standardization these platforms provide give them durable value to customers: *"If you have the system of record and kind of all this knowledge and know-how, compliance, auditability, [standardization at scale], I think that will all still be there."*
- Sees the greatest existential risk for companies that are purely UI or automation layers. Specifically calls out RPA and workflow automation platforms as *"much more at risk by complete replacement because they are basically just a glue layer that automates things, and now AI can completely make them unnecessary."*
- Summing the situation, the customer states that *"there are real pressures, but I think the fear of complete replacement is overblown for most platforms."*

AI Startup vs. Incumbent Agents

- Notes that while incumbent SaaS platforms (Zendesk, ServiceNow, etc.) have developed their own Agentic AI offerings, the organization found that AI-native startups are currently competitive to the platforms.
- Qualifies this by noting the advantage may not persist: *"I'm not saying they'll always be the case, but [AI-native startups] seem to be at least [somewhat]"* ahead at the current moment.

Outlook

- When asked if the organization would still be using Datadog long-term, the contact states that while they can't know about the distant future, they don't see any way to replace it in the near-medium term.

Industry Contact 3 (+)

General

- Contact is a leader at a consulting and managed services firm that specializes in a wide variety of solutions, including Observability.
- Partner manages an Observability practice that is well into the tens of millions across multiple vendors, with Datadog representing ~20% of the overall Observability practice, with a focus on upper-mid market and some enterprise as well.

Demand Environment

- Partner indicates a particularly strong start to 2026, with the firm's overall Observability practice growing well above initial targets.
- Q4 2025 came in at the low 20s growth y/y, above the high-teens internal projection for Datadog.
- For Q1 2026, the firm initially targeted mid-teens growth in their Datadog practice but now expects to come in closer to 20% for the quarter based on early project momentum, albeit on a somewhat easier y/y comp.
- Highlights the pace of activity in January, noting that ***"we did about 20% of what we did all last year in the month of January"***.
- Datadog specifically was one of the firm's fastest-growing products in 2025, growing ~19% versus 10-12% for other Observability tools in the portfolio; *anticipates Datadog momentum to continue into 2026.*
- The contact's firm works across a range of Observability vendors, including Datadog, Dynatrace, New Relic, Splunk for log management, LogicMonitor, and ScienceLogic.
- Characterizes the broader technology spending environment as ***"very explosive"*** from their specific vantage point, with significant investment increases across the board, not just in Observability, but in security, infrastructure, and other technology areas.

Customer Spending Trends

- The contact's customer base skews lower enterprise and upper mid-market, generally companies with \$500M+ in revenue and often \$1B+. Spending strength is broad-based across verticals: technology, finance, healthcare, and state/local government.
- Identifies two primary drivers of accelerating technology spend: ***(a) companies scaling up infrastructure for AI deployments that are expected to go mainstream by mid-to-late 2026; and (b) a broader trend of companies investing in technology to replace or reduce headcount; Notes that companies appear favorable toward technology investments that allow them to forego hiring or otherwise reduce headcount.***
- Emphasizes that AI-related investment is not limited to Observability: it is driving significant spend across multiple technology categories, including security and infrastructure, as companies prepare for production AI workloads.

AI & Product Areas

- Notes that customers are actively utilizing AI capabilities within Observability tools

at the the more granular layers for automated assessment and root cause analysis.

- Regarding Datadog's Bits AI / SRE product specifically, the industry expert indicates it is still largely in the evaluation phase with customers due to the early stages of the product roll-out; however, believes that once customers get it integrated and optimized, it will move to the next level of adoption and begin to scale, with positive feedback thus far.
- Notes that customers are generally happy with the predictive analysis and automation capabilities that exist in the market, but are looking for the next level – specifically, trustworthy automation in a *"Copilot version"* where the tool can not only identify root causes but also automate remediation reliably.
- Has less direct visibility into higher-level AI tool choices (e.g., ServiceNow, Microsoft Copilot, Salesforce Agentforce) but confirms customers are broadly acquiring technology to support AI initiatives at multiple levels of the stack.

Competitive Dynamics

- *On Chronosphere (recently acquired by Palo Alto Networks), the contact does not view it as a serious competitive threat.*
- Acknowledges Palo Alto customers may adopt it, which could create some market pressure, but believes Chronosphere lacks the depth of established platforms, stating that *"customers know what they're Not getting with Chronosphere... it's quite a bit compared to what these other products deliver."*
- On Snowflake's acquisition of Observe, the partner views it as even less material to the market and believes it may see some adoption among existing Snowflake customers handling logs, metrics, and traces within Snowflake, but does not expect it to meaningfully change the competitive landscape in the near-term.

Industry Contact 4 (+)

General

- Contact is technology leader at a consulting firm, with the firm particularly focused on Oracle implementations / support.
- Customer footprint spans large organizations, including customers in international markets.

Datadog Selection & Positioning in the Oracle Ecosystem

- The contact's firm ran a comprehensive evaluation process last year that resulted in the selection of Datadog as the firm's sole Observability platform. All prior tools – Splunk, Grafana, and LogicMonitor – are in process of being sunsetted and replaced by Datadog.
- A key differentiator in the selection was Datadog's willingness to acknowledge Oracle as a fourth hyperscaler; the contact notes that other vendors, including those others in the *"Gartner upper right quadrant,"* claimed Oracle support but could not produce it in a live demo – Datadog was the first vendor that demonstrated genuine commitment to making Oracle a viable product on their platform.
- Contact's team is actively working with Datadog's development team to improve Oracle-specific capabilities, including security signals and connectivity and hints that there are multiple beta features in development that are not yet publicly available related to Oracle, which contact describes as *"very promising."*

- Datadog spending growth is being driven by two vectors: 1) internal expansion as the firm turns on more Datadog capabilities; and 2) external growth as managed OCI clients adopt the firm's Datadog-powered Oracle monitoring solution.
- Contact notes their firm has built a differentiated capability to manage a specific part of the Oracle ecosystem through Datadog, and *"clients that are seeing it are jumping all over it."*

Datadog Experience & Security

- Contact is highly enthusiastic about the ease of deployment, particularly for security integrations. Describes the experience of adding security monitoring across the firm's SaaS stack as near-effortless, *"I could almost one-click my way into turning it on. Literally click add and log in, and minutes later I've got security data being pulled out of those logs."*
- Contrasts this with competitors, noting that other Observability vendors did not provide the same level of out-of-the-box value or ease of integration, particularly for Oracle environments.

Oracle Cloud & AI Strategy

- The industry expert is highly bullish on Oracle's competitive positioning, particularly following the release of the AI Database 26ai and the AI Agent Factory; characterizes the 26ai database as a *"game changer"* due to its ability to stream data directly from the Oracle database into a large language model within OCI, eliminating the need to move data to third-party database platforms for AI training.
- Notes that Oracle now supports multiple LLM providers natively within OCI, including offerings from Meta, Anthropic, OpenAI, and Cohere, allowing customers to build tailored private language models on their own data securely within Oracle's infrastructure and believes this represents *"a play the other ones can't talk about."*
- Believes Oracle's AI Agent capabilities in ERP Fusion are industry-leading, particularly because role-based access controls are built into the AI Agents from day one.
- Illustrating the importance of security and related considerations, the contact notes that in conversations with large customers, *"their biggest concern with AI Agents is security, and Oracle's now come to the table with one where it's built in from day one."*

Investment Thesis, Valuation and Risks

Datadog (*Overweight; Price Target: \$200.00*)

Investment Thesis

Datadog is a leading provider of monitoring and security for public cloud, private cloud, and on-premises applications, with these solutions delivered via a comprehensive, unified platform. The company's technologies integrate and automate infrastructure monitoring, application performance monitoring, and log management to enable seamless observability, cloud security, and developer use-cases. The company sees a large portion of IT Operations Management as its target market, which Gartner estimates will represent a \$53B opportunity by 2025. The combination of its large market opportunity, along with rapid growth, positive PF operating margin, and cash flow generation, put it in an elite category. This market includes both legacy on-premise and private cloud environments as well as modern public cloud environments, including multi- and hybrid-cloud, which are expected to grow faster than the IT Operations Management market as a whole. While the legacy environments include more competitive displacements, the cloud infrastructure space is primarily greenfield. We believe Datadog is the leader in its market and the preferred tool by DevOps professionals, providing a single-pane-of-glass experience across numerous and dynamic operating environments. As a result, we see Datadog as a direct beneficiary of the secular trends of digital transformation, which is driving an increase in workloads overall, as well as cloud migration, which is driving a higher proportion of workloads to public clouds, positioning it well in the drive toward modernization.

Valuation

Our \$200 Dec-26 PT is based on 59x EV/CY26E uFCF using \$1.2B of uFCF for CY26E. Our multiple for DDOG shares is slightly above vs. Fast-Growing Infrastructure Software Vendors, which trade at ~55x on average. We believe Datadog's multiple is warranted given its category leadership, multiple vectors of growth, benefit from ongoing cloud migrations, and AI-related tailwinds, offset by its usage-based model, which can exhibit greater volatility than other business models.

Risks to Rating and Price Target

Risks to the Downside

- **Native Hypercloud DevOps Tools.** While there are various public cloud options, the market is currently dominated by Amazon's Amazon Web Services (AWS), Microsoft's Azure, and Google's Google Cloud Platform (GCP) platforms. These platforms feature native DevOps observability and security tools that compete with Datadog. Should these services become more attractive and/or cost competitive for customers, the company may face increased competition and price pressure, potentially impacting growth and profitability.
- **Acute Execution Risk.** Datadog has grown rapidly, both in terms of revenue and head count, increasing head count 156% in 2020 compared with 2019 and 147% in 2021 compared with 2020. As a result, maintaining the company's growth curve requires excellent execution and ramping of sales reps as it supports its best-in-class sales efficiency. While the company has a history of excellent execution, should any challenges emerge in its execution, growth and margins will likely suffer and investor sentiment erode, likely resulting in deceleration and multiple contraction.
- **Macroeconomic Gyration.** Recent macroeconomic uncertainties have caused many

IT customers to scrutinize deals more carefully, defer modernization products, and/or optimize or reduce spending. Should the environment worsen and customers further defer or reduce IT spending, Datadog's growth curve may be negatively impacted, with the company potentially particularly affected given its exposure to SMB customers.

Datadog: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY23A	FY24A	FY25E	FY26E	FY27E		1Q25A	2Q25A	3Q25A	4Q25E	
Revenue	2,128	2,684	3,388	3,979	-	Revenue	762A	827A	886A	914	
COGS	(384)	(483)	(643)	(736)	-	COGS	(150)A	(158)A	(167)A	(169)	
Gross profit	1,744	2,201	2,745	3,243	-	Gross profit	612A	669A	719A	745	
SG&A	(626)	(769)	(954)	(1,083)	-	SG&A	(219)A	(242)A	(242)A	(250)	
Adj. EBITDA	11	109	83	150	-	Adj. EBITDA	(1)A	(23)A	9A	30	
D&A	(44)	(55)	(123)	(43)	-	D&A	(11)A	(13)A	(15)A	(16)	
Adj. EBIT	490	674	756	967	-	Adj. EBIT	167A	164A	207A	218	
Net Interest	(6)	(7)	(11)	(10)	-	Net Interest	(3)A	(3)A	(2)A	(2)	
Adj. PBT	587	828	922	1,081	-	Adj. PBT	213A	207A	250A	252	
Tax	(12)	(20)	(19)	(33)	-	Tax	(7)A	(3)A	(2)A	(7)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	464	654	728	854	-	Adj. Net Income	168A	164A	197A	199	
Reported EPS	0.14	0.51	0.28	0.50	-	Reported EPS	0.07A	0.01A	0.09A	0.11	
Adj. EPS	1.33	1.83	2.01	2.29	-	Adj. EPS	0.46A	0.46A	0.55A	0.54	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	350	358	363	373	-	Shares outstanding	363A	359A	362A	367	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	330	1,247	826	1,939	-	Gross margin	82.0%	82.0%	81.0%	81.5%	-
Accounts receivable	509	599	721	886	-	EBITDA margin	0.5%	4.1%	2.5%	3.8%	-
Inventories	0	0	0	0	-	EBIT margin	23.0%	25.1%	22.3%	24.3%	-
Other current assets	2,339	3,065	3,749	3,773	-	Net profit margin	21.8%	24.4%	21.5%	21.5%	-
Current assets	3,178	4,911	5,296	6,598	-	ROE	27.0%	27.6%	22.7%	20.1%	-
PP&E	172	227	320	365	-	ROA	13.4%	13.5%	11.8%	11.7%	-
LT investments	-	-	-	-	-	ROCE	24.3%	24.7%	20.6%	20.5%	-
Other non current assets	586	647	931	1,079	-	SG&A/Sales	29.4%	28.6%	28.2%	27.2%	-
Total assets	3,936	5,785	6,547	8,042	-	Net debt/equity	NM	NM	NM	NM	-
Short term borrowings	128	127	181	195	-	P/E (x)	84.2	61.1	55.6	48.8	-
Payables	88	108	167	185	-	P/BV (x)	19.3	14.7	10.9	8.7	-
Other short term liabilities	788	1,628	1,177	1,408	-	EV/EBITDA (x)	5,093.9	505.2	671.1	362.6	-
Current liabilities	1,003	1,863	1,525	1,788	-	Dividend Yield	-	-	-	-	-
Long-term debt	138	197	272	0	-	Sales/Assets (x)	0.6	0.6	0.5	0.5	-
Other long term liabilities	770	1,011	1,050	1,444	-	Interest cover (x)	1.7	15.5	7.6	15.6	-
Total liabilities	1,911	3,071	2,847	3,232	-	Operating leverage	185.7%	143.7%	46.4%	159.4%	-
Shareholders' equity	2,025	2,714	3,700	4,810	-	Revenue y/y Growth	27.1%	26.1%	26.2%	17.5%	-
Minority interests	-	-	-	-	-	EBITDA y/y Growth	(145.7%)	892.8%	(24.0%)	80.5%	-
Total liabilities & equity	3,936	5,785	6,547	8,042	-	Tax rate	2.0%	2.4%	2.1%	3.0%	-
BVPS	5.79	7.59	10.20	12.89	-	Adj. Net Income y/y Growth	67.7%	40.9%	11.4%	17.2%	-
y/y Growth	41.7%	31.0%	34.5%	26.4%	-	EPS y/y Growth	65.5%	37.7%	9.9%	13.9%	-
Net debt/(cash)	(65)	(923)	(373)	(1,744)	-	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	660	871	1,043	1,240	-						
o/w Depreciation & amortization	44	55	55	79	-						
o/w Changes in working capital	45	13	41	56	-						
Cash flow from investing activities	(731)	(737)	(876)	(147)	-						
o/w Capital expenditure	(28)	(35)	(59)	(72)	-						
as % of sales	1.3%	1.3%	1.7%	1.8%	-						
Cash flow from financing activities	58	787	(598)	20	-						
o/w Dividends paid	-	-	-	-	-						
o/w Net debt issued/(repaid)	0	782	(636)	0	-						
Net change in cash	(12)	917	(421)	1,113	-						
Adj. Free cash flow to firm	632	836	984	1,168	-						
y/y Growth	65.1%	32.2%	17.7%	18.7%	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Datadog (DDOG, DDOG US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
08-Aug-23	N	106.30	90
07-Nov-23	OW	79.55	115
13-Feb-24	OW	134.85	140
06-Nov-25	OW	154.98	200

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 14, 2019. All share prices are as of market close on the previous business day.

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